THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY

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Ref: *Contribute opinions to Draft Decree on recruitment of Vietnamese employees working for foreign organizations and individuals in Vietnam*

SOCIALIST REPUBLIC OF VIETNAM
Independence - Freedom – Happiness

Ha Noi, 24 September 2020

To: - Government Office
- Employment Department - Ministry of Labor, Invalid and Society Affairs
- Legal Department - Ministry of Labor, Invalid and Society Affairs

First of all, the Japanese Chamber of Commerce and Industry in Vietnam (*hereinafter referred to as "JCCI"*) would like to send respectfully greeting and sincere thanks for the support and cooperation of the Agencies towards enterprises, associations in general and JCCI's activities in particular during the past time.

Currently, **Draft Decree on recruitment of Vietnamese employees working for foreign organizations and individuals in Vietnam** (*hereinafter referred to as "the Draft"*) is in the drafting process and being prepared to be issued.

Accordingly, the Draft supplemented a subject of regulation: *"Economic organizations with foreign investment capital accounting for 51% or more of organization's charter capital"*. With the above amendment, enterprises with foreign investment capital accounting for 51% or more (*hereinafter referred to as "FDI enterprises"*) have to comply with the recruitment procedures through the Employment Service Center specified in the Draft. JCCI urgently proposed the Drafting Board to maintain the current regulations in Decree 75/2014/ND-CP on the subject of regulation for the following reasons:

(i) Current legal regulations have many contents showing that FDI enterprises or domestic enterprises are both equal before the laws in general and the labor laws in particular. Accordingly, the right to recruit and manage labor - a fundamental right of enterprises also cannot be put out of this principle.

According to Article 33, the Constitution 2013, *"Everyone has the right to freedom of business in the sectors and trades that are not prohibited by law"*. Article 50, the Civil Code 2015 states: *"The right of individuals to freedom of business is respected and protected by the law. Individuals have the*

right to choose the form, fields and lines of business, set up a business, freely enter into contracts, hire labor and other rights in accordance with the law ".

Concretizing the above principles, the Enterprise Law 2014 and the Labor Code 2019 also have provisions to express the freedom of business and recruitment of enterprises, regardless of ownership form and economic sectors. According to Article 7.1 and 7.6, the Enterprise Law 2014, Enterprises has the right to "*freedom of doing business in the industries and trades that are not prohibited by the law*" and "*recruit, hire and use labor*". Besides, Article 6.1, the Labor Code 2019 also stipulates that the employer has the right to: "*Recruit, arrange, manage, administer, and supervise labor; reward and handle violations of labor discipline;...*". Moreover, according to Article 5.1 of the Enterprises Law 2014, one of the State's guarantees to Enterprises is *"ensure equality before the law of the Enterprises regardless of ownership and economic sectors".*[1]

However, the provisions in the Draft do not allow FDI enterprises to take the initiative and full power to decide on the recruitment of employees working for their enterprises. JCCI is at the opinion that the Draft has limited the right to recruit and manage employees of enterprises and it is inconsistent with the provisions of the Labor Code 2019 as well as the Enterprise Law 2014 and the Enterprise Law 2020.

In addition, although FDI enterprises are not subject of Decree 75/2014/ND-CP, they still have to fulfill their labor management responsibilities as prescribed in the Labor Code 2019 (establish and update the labor management book, periodic report the labor change situation, ...). Accordingly, the current regulations in the Labor Code 2019 have ensured the strict management of employees working in enterprises in general and FDI enterprises in particular.

(ii) Each Enterprise has its own operation methods and characteristics. Enterprises have best understand of their own needs and activities, from which, easily choose the most suitable employees with the working environment at the enterprises. In fact, in establishing process, each enterprise build its own recruitment and human resource management system. During the recruitment process, enterprises may ask for support (if needed) from the Employment Service Center or Enterprises providing recruitment services,... However, if it is mandatory for FDI enterprises to conduct recruitment through the Employment Service Center, it will reduce the efficiency of recruitment as well as increase unnecessary administrative procedures for enterprises.

[1] The Enterprise Law 2020, take effect from January 1, 2021, also contains provisions similar to those of the Enterprise Law 2014 set forth in this paragraph.

(iii) Due to the open-door policy, the number of FDI enterprises established in Vietnam is increasing day by day (according to the 2020 Vietnam Business White Paper, as of 31st December 2018, the FDI business sector has 16,878 enterprises[2]). Accordingly, the demand for recruiting Vietnamese employees to work in FDI enterprises is also extremely large, especially for manufacturing enterprises; the number of Vietnamese employees in an enterprise can be up to thousands or even tens of thousands. Meanwhile, Vietnam currently has only about 88 employment service centers[3].

If the Draft is passed with the addition of "FDI enterprises" to the subject of regulation, as in the current draft, it will put a huge burden on the Employment Service Centers. This may create an overload situation in the Employment Service Centers, leading to the failure to promptly respond to the recruitment demand of FDI enterprises. Besides, according to the Draft, FDI enterprises must wait for the Employment Service Centers to implement recruitment process within 15 days. In case the Employment Service Center is unable to recruit and recommend suitable employees, the recruitment process will be much longer due to the time it takes to carry out additional procedure to request and recruit through the Job Service Center before FDI enterprises can directly engage in recruitment. In a normal recruitment process, 15 days of waiting is a long period and the suspension of recruitment for 15 days will cause negative effects on the operation of the Enterprise. For many enterprises, especially manufacturing enterprises, ensuring enough labor is a vital factor to maintain normal operations. The extension of the recruitment process will lead to shortage of labor, which seriously affects production and business activities, and can even create production suspension and heavy economic losses.

(iv) Currently, Vietnam is promoting preferential policies to attract foreign investment, the increase of requirements and conditions in recruitment with FDI enterprises will go against with the above orientation. Labor is also one of the first factors to consider by foreign investors before deciding to invest, whereby, if FDI enterprises do not have initiative in their own recruitment of employees, it can become a barrier when foreign investors research to invest in the Vietnamese market.

Previously, according to the provisions of the Labor Code 1994 and Decree 49/1999/ND-CP, FDI enterprises are also subject to recruitment through labor supply organizations under the Provincial People's Committee. However, later on, this regulation was adjusted in 2001 and up to now (with Decree 75/2014/ND-CP), FDI enterprises are no longer subject to recruitment through supply organizations/ Employment Service Center. We realize that this change is completely consistent with

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[2] Press Release 2020 Vietnam Business White Paper, General Statistics Office, https://gso.gov.vn/default.aspx?tabid=382&idmid=2&ItemID=19594

[3] Troubleshooting the Employment Service Center system, https://nhandan.com.vn/tin-tuc-xa-hoi/go-vuong-cho-he-thong-trung-tam-dich-vu-viec-lam-612561/

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the history of economic integration and foreign investment attraction in Vietnam. Therefore, a return to regulation as it was in the 1990s would be inappropriate for current time.

For the above reasons, JCCI proposed to remove the addition of *" Economic organizations with foreign investment capital accounting for 51% or more of organization's charter capital "* from the scope of regulation of the Decree to ensure the initiative and self-determination of FDI enterprises in the recruitment as well as to encourage and create favorable conditions for the attraction of foreign investment capital in Vietnam.

We sincerely hope the Drafting Board to consider the problems and proposals mentioned above of JCCI, thereby amending the Draft so that it is issued in accordance with the reality, creating motivation for enterprises to produce and develop business.

Sincerely thank you!

Receiver:
- As above
- Advisory Council for Administrative Procedure Reform of Government Office
- Embassy of Japan in Vietnam
- VCCI
- JCCI in Ho Chi Minh City
- JCCI in Da Nang
- Storage JCCI

On behalf of the Japanese Chamber of Commerce and Industry in Vietnam

Chairman

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